

INSTRUCTIONAL AREA
Professional Development

ACCOUNTING APPLICATIONS SERIES EVENT

PARTICIPANT INSTRUCTIONS

(quoted directly from DECA, INC)

- "This event is presented to you through your review of the Career Competencies, Performance Indicators and Event Situation."
- "You have up to 10 minutes to review this information and prepare your presentation. Using the materials provided, you may make notes to use during your presentation."
- "You will have up to 10 minutes to present to the judge(s)."
- "You will be evaluated on your solution to the event situation, how you incorporate the performance indicators of this event and how you demonstrate the career competencies."
- "Turn in all your notes and event materials when you have completed the event."

SOLUTION

- Accurate – Demonstrate appropriate finance acumen.
- Practical – Develop an actionable/viable solution in a real-world context.
- Effective – Develop a solution that achieves relevant outcomes.

CAREER COMPETENCIES

- Critical Thinking – Think critically to understand and solve problems.
- Communication – Communicate clearly, effectively and with reason.
- Decision Making – Consider the impacts of decisions.

PERFORMANCE INDICATORS

1. Discuss the levels and types of external financial reporting.
2. Explain the nature of accounting standards.
3. Discuss the roles and responsibilities of accounting-standards-setting bodies (i.e., SEC, FASB, IASB, GASB).
4. Discuss professional designations for accountants (e.g., CPA, CMA, CIA, CFE, etc.).
5. Employ communication styles appropriate to target audience.

EVENT SITUATION

You are to assume the role of the staff accountant at GREENLINE LANDSCAPING, a company with $4.2 million in annual sales. The owner (judge) needs your help understanding a bank's requirements for a new loan.

GREENLINE wants to borrow $750,000 to buy new trucks and equipment. The bank has offered two options:

- **Option A:** The company provides **compiled** financial statements. Loan interest rate: 8.25%.
- **Option B:** The company provides **reviewed** financial statements. Loan interest rate: 7.50%.

An outside CPA firm has quoted these fees:

- Compilation: $3,500 per year
- Review: $9,000 per year
- Audit (not required by the bank): $24,000 per year

The owner (judge) is frustrated and asks, "You already keep our books. Why can't you just prepare the statements yourself and save us the money?" The owner (judge) has no accounting background and has never heard of GAAP or FASB.

The owner (judge) wants you to:

- Explain the difference between a compilation, a review and an audit.
- Explain what accounting standards are and who sets them.
- Explain why the bank requires an outside CPA rather than the company's own accountant.
- Calculate whether Option B saves the company money in the first year compared with Option A.
- Explain all of this in terms the owner (judge) can understand.

You will present the information to the owner (judge) in a meeting in the owner's office. The owner (judge) will begin the meeting by greeting you and asking about the loan. After you have presented the information and answered the owner's (judge's) questions, the owner (judge) will conclude the meeting by thanking you for your work.

Possible Judge's Questions:

1. Who makes these accounting rules, and why should a small company like mine have to follow them?
2. If the savings are only about $125, why is the review worth the trouble?

	Rate the participant's ability to:	Novice	Developing	Proficient	Exemplary	Judged Score
PERFORMANCE INDICATORS						
1.	Discuss the levels and types of external financial reporting.	0-1-2-3	4-5-6	7-8-9	10	
2.	Explain the nature of accounting standards.	0-1-2-3	4-5-6	7-8-9	10	
3.	Discuss the roles and responsibilities of accounting-standards-setting bodies (i.e., SEC, FASB, IASB, GASB).	0-1-2-3	4-5-6	7-8-9	10	
4.	Discuss professional designations for accountants (e.g., CPA, CMA, CIA, CFE, etc.).	0-1-2-3	4-5-6	7-8-9	10	
5.	Employ communication styles appropriate to target audience.	0-1-2-3	4-5-6	7-8-9	10	
SOLUTION						
6.	**Accurate** Demonstrate appropriate finance acumen.	0-1-2	3-4-5	6-7	8	
7.	**Practical** Develop an actionable/viable solution in a real-world context.	0-1-2	3-4-5	6-7	8	
8.	**Effective** Develop a solution that achieves relevant outcomes	0-1-2	3-4-5	6-7	8	
CAEREER COMPETANCIES						
9.	**Critical Thinking** Think critically to understand and solve problems	0-1	2-3	4-5	6	
10.	**Communication** Communicate clearly, effectively and with reason.	0-1	2-3	4-5	6	
11.	**Decision Making** Consider the impacts of decisions.	0-1	2-3	4-5	6	
OVERALL IMPRESSIONS						
12.	Demonstrate overall career readiness through professionalism, poise and confidence.	0-1-2	3-4-5	6-7	8	
					TOTAL SCORE	

Answer key: Option B saves $5,625 in first-year interest (0.75% × $750,000) and costs $5,500 more in fees, so the company comes out $125 ahead in year one. The stronger arguments for Option B are credibility with the lender and better terms on future loans.